Statistics/Data Analysis

```
1 .
2 .         {       //Table 2 Descriptive Analysis
3 .                 gen vhelp = LAG_PRE_CASH_ETR3_1
  (1,641 missing values generated)
4 .                 replace vhelp = LAG_PRE_CASH_ETR3_2 if !missing(hightolow) & missing(vhelp)
  (9 real changes made)
5 .                 ttest CASH_ETR3 =  vhelp if hightolow == 1

  Paired t test
  ------------------------------------------------------------------------------
  Variable |     Obs        Mean    Std. Err.   Std. Dev.   [95% Conf. Interval]
  ---------+--------------------------------------------------------------------
  CASH_E~3 |     208    .2556444    .0115964    .1672463    .2327821    .2785067
     vhelp |     208    .3116706    .0125611    .1811593    .2869065    .3364348
  ---------+--------------------------------------------------------------------
      diff |     208   -.0560262     .015593     .224886   -.0867677   -.0252847
  ------------------------------------------------------------------------------
       mean(diff) = mean(CASH_ETR3 - vhelp)                          t =  -3.5930
   Ho: mean(diff) = 0                              degrees of freedom =      207

   Ha: mean(diff) < 0           Ha: mean(diff) != 0           Ha: mean(diff) > 0
   Pr(T < t) = 0.0002         Pr(|T| > |t|) = 0.0004          Pr(T > t) = 0.9998
6 .                 return list

  scalars:
                  r(level) =  95
                   r(sd_2) =  .1811592788691991
                   r(sd_1) =  .1672463028516736
                     r(se) =  .0155930368563316
                    r(p_u) =  .9997957821180835
                    r(p_l) =  .0002042178819165
                      r(p) =  .0004084357638331
                      r(t) =  -3.593026450505857
                   r(df_t) =  207
                   r(mu_2) =  .311670611325938
                    r(N_2) =  208
                   r(mu_1) =  .2556444174574258
                    r(N_1) =  208
7 .                 local obs1 = `r(N_1)'
8 .                 local mean1 = (-1*`r(mu_2)')+`r(mu_1)'
9 .                 local sd1 = (`r(N_1)'^(1/2))*`r(se)'
10.                 display `obs1'
  208
11.                 display `mean1'
  -.05602619
12.                 display `sd1'
  .22488598
13.                 ttest CASH_ETR3 =  vhelp if hightolow == 0

  Paired t test
  ------------------------------------------------------------------------------
  Variable |     Obs        Mean    Std. Err.   Std. Dev.   [95% Conf. Interval]
  ---------+--------------------------------------------------------------------
  CASH_E~3 |     626    .2796424    .0078461    .1963104    .2642344    .2950504
     vhelp |     626    .2952934     .005161    .1291277    .2851584    .3054284
  ---------+--------------------------------------------------------------------
      diff |     626    -.015651    .0085901    .2149244     -.03252     .001218
  ------------------------------------------------------------------------------
       mean(diff) = mean(CASH_ETR3 - vhelp)                          t =  -1.8220
   Ho: mean(diff) = 0                              degrees of freedom =      625

   Ha: mean(diff) < 0           Ha: mean(diff) != 0           Ha: mean(diff) > 0
   Pr(T < t) = 0.0345         Pr(|T| > |t|) = 0.0689          Pr(T > t) = 0.9655
14.                 return list

  scalars:
                  r(level) =  95
                   r(sd_2) =  .1291277278081903
                   r(sd_1) =  .1963104121470636
                     r(se) =  .008590107317277
                    r(p_u) =  .9655320076711746
                    r(p_l) =  .0344679923288254
                      r(p) =  .0689359846576507
                      r(t) =  -1.821978802370768
                   r(df_t) =  625
                   r(mu_2) =  .2952933903581228
                    r(N_2) =  626
                   r(mu_1) =  .2796423969159539
                    r(N_1) =  626
15.                 local obs2 = `r(N_1)'
16.                 local mean2 = (-1*`r(mu_2)')+`r(mu_1)'
17.                 local sd2 = (`r(N_1)'^(1/2))*`r(se)'
18.                 display `obs2'
  626
19.                 display `mean2'
  -.01565099
20.                 display `sd2'
  .21492442
21.                 ttesti `obs1' `mean1' `sd1' `obs2' `mean2' `sd2'

  Two-sample t test with equal variances
  ------------------------------------------------------------------------------
           |     Obs        Mean    Std. Err.   Std. Dev.   [95% Conf. Interval]
  ---------+--------------------------------------------------------------------
         x |     208   -.0560262     .015593     .224886   -.0867677   -.0252847
         y |     626    -.015651    .0085901    .2149244     -.03252     .001218
  ---------+--------------------------------------------------------------------
  combined |     834   -.0257206    .0075493    .2180168   -.0405385   -.0109027
  ---------+--------------------------------------------------------------------
      diff |           -.0403752    .0174026               -.0745334    -.006217
  ------------------------------------------------------------------------------
      diff = mean(x) - mean(y)                                      t =  -2.3201
  Ho: diff = 0                                     degrees of freedom =      832

      Ha: diff < 0                 Ha: diff != 0                 Ha: diff > 0
   Pr(T < t) = 0.0103         Pr(|T| > |t|) = 0.0206          Pr(T > t) = 0.9897
```

```
22.                 drop vhelp*
23.                 }
24.
25.         {       //Table 3 Regression Analyses
26.                 {       //Table 3 Panel A
27.                 *Table 3 Panel A Specification 1
28.                 *Table 3 Panel A Specification 2
29.                 foreach var of varlist CASH_ETR3 DELTA_CASH_ETR3{
    2.                 reghdfe `var' i.hightolow $NETWORKlist $PARTNERlist $FIRMlist, absorb(IND YEAR) vce(cluster CUSIPNUM)
    3.                 }
  (MWFE estimator converged in 6 iterations)

  HDFE Linear regression                            Number of obs   =        834
  Absorbing 2 HDFE groups                           F(  23,    402) =       2.00
  Statistics robust to heteroskedasticity           Prob > F        =     0.0043
                                                    R-squared       =     0.1757
                                                    Adj R-squared   =     0.1208
                                                    Within R-sq.    =     0.1443
  Number of clusters (CUSIPNUM) =        403        Root MSE        =     0.1778

                                    (Std. Err. adjusted for 403 clusters in CUSIPNUM)
```

CASH_ETR3	Coef.	Robust Std. Err.	t	P>|t|	[95% Conf.	Interval]
1.hightolow	-.0277185	.0155114	-1.79	0.075	-.0582121	.002775
1.purpose_wholesale	-.0140193	.0267678	-0.52	0.601	-.0666416	.0386029
1.purpose_develop	-.0116094	.0142067	-0.82	0.414	-.0395381	.0163194
1.purpose_license	.0055786	.0173728	0.32	0.748	-.0285743	.0397316
1.purpose_service	-.0170403	.017277	-0.99	0.325	-.0510048	.0169242
1.purpose_marketing	-.0133878	.0189252	-0.71	0.480	-.0505926	.023817
1.purpose_supply	-.0251875	.0300757	-0.84	0.403	-.0843128	.0339377
1.purpose_manufacture	.015904	.0205309	0.77	0.439	-.0244573	.0562653
1.PARTSAMEAUDITOR	-.0159139	.0147716	-1.08	0.282	-.0449532	.0131253
PROXIMITY	-.0399806	.0496785	-0.80	0.421	-.1376426	.0576815
ebitda_at3	-.5730075	.1876761	-3.05	0.002	-.9419566	-.2040584
RnDExp3	.0570825	.1797811	0.32	0.751	-.2963462	.4105111
AdExp3	.0632874	.3073702	0.21	0.837	-.5409664	.6675412
SGA3	-.0380506	.0694452	-0.55	0.584	-.1745717	.0984705
CapEx3	-.0164848	.1577635	-0.10	0.917	-.3266293	.2936597
ChangeSale3	-.3978247	.1262257	-3.15	0.002	-.6459695	-.1496798
Leverage3	-.244337	.0978446	-2.50	0.013	-.436688	-.051986
Cash3	-.0816832	.1135504	-0.72	0.472	-.3049101	.1415436
1.MNE3	.0234082	.0197662	1.18	0.237	-.0154499	.0622662
1.NOL3	.0138395	.0227259	0.61	0.543	-.0308369	.0585159
Intangibles3	.1204852	.0640499	1.88	0.061	-.0054295	.2463999
PPE3	.0863801	.0591163	1.46	0.145	-.0298355	.2025958
size3	-.0106915	.0057533	-1.86	0.064	-.0220018	.0006188
_cons	.504631	.0748106	6.75	0.000	.3575622	.6516998

Absorbed degrees of freedom:

Absorbed FE	Categories	- Redundant	= Num. Coefs
IND	12	0	**12**
YEAR	19	1	**18**

```
  (MWFE estimator converged in 6 iterations)

  HDFE Linear regression                            Number of obs   =        834
  Absorbing 2 HDFE groups                           F(  23,    402) =       1.46
  Statistics robust to heteroskedasticity           Prob > F        =     0.0790
                                                    R-squared       =     0.1689
                                                    Adj R-squared   =     0.1135
                                                    Within R-sq.    =     0.1350
  Number of clusters (CUSIPNUM) =        403        Root MSE        =     0.6326

                                    (Std. Err. adjusted for 403 clusters in CUSIPNUM)
```

DELTA_CASH_ETR3	Coef.	Robust Std. Err.	t	P>|t|	[95% Conf.	Interval]
1.hightolow	-.1130823	.0493151	-2.29	0.022	-.21003	-.0161346
1.purpose_wholesale	-.1758091	.0824799	-2.13	0.034	-.3379549	-.0136633
1.purpose_develop	-.0539424	.0532564	-1.01	0.312	-.1586382	.0507534
1.purpose_license	.032535	.0633731	0.51	0.608	-.0920491	.157119
1.purpose_service	-.0489245	.0635049	-0.77	0.442	-.1737676	.0759186
1.purpose_marketing	-.0875616	.06104	-1.43	0.152	-.207559	.0324358
1.purpose_supply	-.0399229	.0969806	-0.41	0.681	-.2305754	.1507295
1.purpose_manufacture	.024407	.0754401	0.32	0.746	-.1238993	.1727133
1.PARTSAMEAUDITOR	-.0274037	.0545911	-0.50	0.616	-.1347234	.0799161
PROXIMITY	-.1630531	.1822524	-0.89	0.372	-.5213398	.1952337
ebitda_at3	-1.321522	.528975	-2.50	0.013	-2.361425	-.2816194
RnDExp3	1.145237	.60736	1.89	0.060	-.0487611	2.339236
AdExp3	-.8620737	.9795387	-0.88	0.379	-2.787732	1.063584
SGA3	-.1548068	.2488563	-0.62	0.534	-.6440292	.3344156
CapEx3	.3099212	.5157492	0.60	0.548	-.7039813	1.323824
ChangeSale3	-1.755059	.4867015	-3.61	0.000	-2.711857	-.7982611
Leverage3	-.7643132	.313291	-2.44	0.015	-1.380207	-.1484199
Cash3	-.6820575	.3607181	-1.89	0.059	-1.391187	.0270719
1.MNE3	.0786878	.0679797	1.16	0.248	-.0549523	.212328
1.NOL3	.0683856	.0734657	0.93	0.352	-.0760394	.2128105
Intangibles3	.1761258	.1785097	0.99	0.324	-.1748032	.5270549
PPE3	.1401496	.1671517	0.84	0.402	-.188451	.4687502
size3	-.0125397	.0176228	-0.71	0.477	-.0471841	.0221047
_cons	1.537747	.2320517	6.63	0.000	1.08156	1.993933

Absorbed degrees of freedom:

Absorbed FE	Categories	- Redundant	= Num. Coefs
IND	12	0	**12**
YEAR	19	1	**18**

```
30.                 }
31.
32.                 {       //Table 3 Panel B Difference in Differences
33.                 *Table 3 Panel B Specification 1
34.                 *SE robust
35.                 reghdfe CASH_ETR1 TREATED##POST, noabsorb vce(robust)
  (MWFE estimator converged in 1 iterations)

  HDFE Linear regression                            Number of obs   =        611
  Absorbing 1 HDFE group                            F(   3,    607) =       4.34
                                                    Prob > F        =     0.0049
                                                    R-squared       =     0.0250
                                                    Adj R-squared   =     0.0202
                                                    Within R-sq.    =     0.0250
                                                    Root MSE        =     0.1764

------------------------------------------------------------------------------
             |               Robust
   CASH_ETR1 |      Coef.   Std. Err.      t    P>|t|     [95% Conf. Interval]
-------------+----------------------------------------------------------------
   1.TREATED |  -.0053068    .018766    -0.28   0.777    -.0421609    .0315473
      1.POST |   .0288378   .0248831     1.16   0.247    -.0200296    .0777052
             |
TREATED#POST |
        1 1  |  -.0675723   .0296883    -2.28   0.023    -.1258766   -.0092681
             |
       _cons |   .2893357   .0148088    19.54   0.000     .2602531    .3184184
------------------------------------------------------------------------------
36.                 margins TREATED#POST, post

  Adjusted predictions                              Number of obs     =        611
  Model VCE    : Robust

  Expression   : Linear prediction, predict()

------------------------------------------------------------------------------
             |            Delta-method
             |     Margin   Std. Err.      z    P>|z|     [95% Conf. Interval]
-------------+----------------------------------------------------------------
TREATED#POST |
        0 0  |   .2893357   .0148088    19.54   0.000     .2603111    .3183604
        0 1  |   .3181735   .0199967    15.91   0.000     .2789807    .3573663
        1 0  |    .284029   .0115266    24.64   0.000     .2614373    .3066206
        1 1  |   .2452944   .0113739    21.57   0.000      .223002    .2675868
------------------------------------------------------------------------------
37.                 test _b[1.TREATED#1.POST] = _b[0.TREATED#1.POST]

   ( 1)  - 0bn.TREATED#1.POST + 1.TREATED#1.POST = 0

             chi2(  1) =   10.04
           Prob > chi2 =    0.0015
38.                 *Table 3 Panel B Specification 2
39.                 *Cluster VCE
40.                 reghdfe CASH_ETR1 TREATED##POST $FIRMlistannual, absorb(IND DIDYEAR) vce(cluster CUSIPNUM)
  note: 1bn.POST is probably collinear with the fixed effects (all partialled-out values are close to zero; tol = 1.0e-09)
  (MWFE estimator converged in 5 iterations)
  note: 1.POST omitted because of collinearity

  HDFE Linear regression                            Number of obs   =        611
  Absorbing 2 HDFE groups                           F(  15,    112) =       1.83
  Statistics robust to heteroskedasticity           Prob > F        =     0.0383
                                                    R-squared       =     0.1199
                                                    Adj R-squared   =     0.0712
                                                    Within R-sq.    =     0.0590
  Number of clusters (CUSIPNUM) =        113        Root MSE        =     0.1717

                              (Std. Err. adjusted for 113 clusters in CUSIPNUM)
------------------------------------------------------------------------------
             |               Robust
   CASH_ETR1 |      Coef.   Std. Err.      t    P>|t|     [95% Conf. Interval]
-------------+----------------------------------------------------------------
   1.TREATED |  -.0112457   .0211028    -0.53   0.595    -.0530581    .0305668
      1.POST |          0  (omitted)
             |
TREATED#POST |
        1 1  |  -.0633821   .0320991    -1.97   0.051    -.1269824    .0002182
             |
   ebitda_at |  -.2329218   .1605512    -1.45   0.150    -.5510334    .0851899
      RnDExp |  -.2609139   .1498002    -1.74   0.084    -.5577239    .0358961
       AdExp |   .3046934   .3914597     0.78   0.438    -.4709339    1.080321
         SGA |  -.0847608   .0762746    -1.11   0.269    -.2358892    .0663676
       CapEx |   .1539363   .1225288     1.26   0.212    -.0888388    .3967113
  ChangeSale |  -.0304438   .0372955    -0.82   0.416    -.1043401    .0434525
    Leverage |   .0079051   .0690731     0.11   0.909    -.1289545    .1447646
        Cash |   .0631532   .0752433     0.84   0.403    -.0859317    .2122381
       1.MNE |   .0142173   .0187782     0.76   0.451    -.0229894    .0514239
       1.NOL |   .0150517   .0191284     0.79   0.433    -.0228487    .0529521
 Intangibles |   .1079628   .0661036     1.63   0.105    -.0230129    .2389385
         PPE |    .030431   .0422904     0.72   0.473     -.053362    .1142241
        size |  -.0048415   .0055489    -0.87   0.385    -.0158359    .0061529
       _cons |   .3370832   .0648058     5.20   0.000     .2086788    .4654877
------------------------------------------------------------------------------

  Absorbed degrees of freedom:
  -----------------------------------------------------+
   Absorbed FE | Categories  - Redundant  = Num. Coefs |
  -------------+---------------------------------------|
           IND |      11           0          11      |
        DIDYEAR |       8           1           7      |
  -----------------------------------------------------+
```

```
41.                 qui reghdfe CASH_ETR1 TREATED##POST $FIRMlistannual, absorb(IND) vce(cluster CUSIPNUM)
42.                 margins TREATED#POST, post

Predictive margins                              Number of obs     =        611
Model VCE    : Robust

Expression   : Linear prediction, predict()

------------------------------------------------------------------------------
             |            Delta-method
             |     Margin   Std. Err.      z    P>|z|     [95% Conf. Interval]
-------------+----------------------------------------------------------------
TREATED#POST |
         0 0 |   .2920785   .0165851    17.61   0.000     .2595723    .3245848
         0 1 |   .3207055   .0243209    13.19   0.000     .2730375    .3683736
         1 0 |   .2801683   .0120392    23.27   0.000     .2565719    .3037647
         1 1 |   .2454285   .0141257    17.37   0.000     .2177427    .2731144
------------------------------------------------------------------------------
43.                 test _b[1.TREATED#1.POST] = _b[0.TREATED#1.POST]

 ( 1)  - 0bn.TREATED#1.POST + 1.TREATED#1.POST = 0

           chi2(  1) =    6.72
         Prob > chi2 =    0.0096
44.                 *Table 3 Panel B Specification 3
45.                 *Add YEAR-FE
46.                 reghdfe CASH_ETR1 TREATED##POST $FIRMlistannual, absorb(IND YEAR DIDYEAR) vce(cluster CUSIPNUM)
note: 1bn.POST is probably collinear with the fixed effects (all partialled-out values are close to zero; tol = 1.0e-09)
(MWFE estimator converged in 8 iterations)
note: 1.POST omitted because of collinearity

HDFE Linear regression                            Number of obs   =        611
Absorbing 3 HDFE groups                           F(  15,    112) =       1.69
Statistics robust to heteroskedasticity           Prob > F        =     0.0633
                                                  R-squared       =     0.1622
                                                  Adj R-squared   =     0.0809
                                                  Within R-sq.    =     0.0634
Number of clusters (CUSIPNUM) =        113        Root MSE        =     0.1708

                              (Std. Err. adjusted for 113 clusters in CUSIPNUM)
------------------------------------------------------------------------------
             |               Robust
   CASH_ETR1 |      Coef.   Std. Err.      t    P>|t|     [95% Conf. Interval]
-------------+----------------------------------------------------------------
   1.TREATED |  -.0042997   .0217008    -0.20   0.843     -.047297    .0386977
      1.POST |          0  (omitted)
             |
TREATED#POST |
         1 1 |  -.0777381   .0316278    -2.46   0.016    -.1404045   -.0150716
             |
   ebitda_at |  -.2601126   .1582514    -1.64   0.103    -.5736674    .0534422
      RnDExp |  -.2806213   .1505825    -1.86   0.065    -.5789812    .0177387
       AdExp |    .350914   .4022711     0.87   0.385    -.4461347    1.147963
         SGA |   -.075069   .0753328    -1.00   0.321    -.2243314    .0741934
       CapEx |   .1469001   .1206397     1.22   0.226    -.0921319    .3859322
  ChangeSale |  -.0311336   .0394738    -0.79   0.432    -.1093459    .0470788
    Leverage |  -.0112867   .0687385    -0.16   0.870    -.1474833    .1249099
        Cash |   .0771927   .0772945     1.00   0.320    -.0759564    .2303418
       1.MNE |    .015373   .0199825     0.77   0.443    -.0242198    .0549657
       1.NOL |   .0141639    .019292     0.73   0.464    -.0240606    .0523885
 Intangibles |   .1065579   .0704518     1.51   0.133    -.0330332     .246149
         PPE |   .0440914   .0422724     1.04   0.299    -.0396659    .1278488
        size |   -.003739   .0054713    -0.68   0.496    -.0145797    .0071018
       _cons |   .3285034   .0651961     5.04   0.000     .1993258    .4576811
------------------------------------------------------------------------------

Absorbed degrees of freedom:
-----------------------------------------------------+
 Absorbed FE | Categories  - Redundant  = Num. Coefs |
-------------+---------------------------------------|
         IND |        11           0          11     |
        YEAR |        23           1          22     |
     DIDYEAR |         8           1           7    ?|
-----------------------------------------------------+
? = number of redundant parameters may be higher
47.                 qui reghdfe CASH_ETR1 TREATED##POST $FIRMlistannual, absorb(IND YEAR) vce(cluster CUSIPNUM)
48.                 margins TREATED#POST, post

Predictive margins                              Number of obs     =        611
Model VCE    : Robust

Expression   : Linear prediction, predict()

------------------------------------------------------------------------------
             |            Delta-method
             |     Margin   Std. Err.      z    P>|z|     [95% Conf. Interval]
-------------+----------------------------------------------------------------
TREATED#POST |
         0 0 |   .2942275   .0172382    17.07   0.000     .2604413    .3280137
         0 1 |   .3218796   .0238821    13.48   0.000     .2750715    .3686877
         1 0 |    .289032   .0145609    19.85   0.000     .2604932    .3175707
         1 1 |   .2387611   .0144055    16.57   0.000     .2105269    .2669954
------------------------------------------------------------------------------
49.                 test _b[1.TREATED#1.POST] = _b[0.TREATED#1.POST]

 ( 1)  - 0bn.TREATED#1.POST + 1.TREATED#1.POST = 0

           chi2(  1) =    8.38
         Prob > chi2 =    0.0038
```

```
50.                 }
51.
52.                 {       //Table 3 Panel C Adjustment Speed
53.                 forvalues q=1(1)5{
   2.                 reghdfe CASH_ETR1 TREATED##POST $FIRMlistannual if DIDYEAR <=`q', absorb(IND YEAR DIDYEAR) vce(cluster CUSIPN
> UM)
   3.                 }
note: 1bn.POST is probably collinear with the fixed effects (all partialled-out values are close to zero; tol = 1.0e-09)
(MWFE estimator converged in 8 iterations)
note: 1.POST omitted because of collinearity

HDFE Linear regression                            Number of obs   =        347
Absorbing 3 HDFE groups                           F(  15,    110) =       1.30
Statistics robust to heteroskedasticity           Prob > F        =     0.2144
                                                  R-squared       =     0.1678
                                                  Adj R-squared   =     0.0272
                                                  Within R-sq.    =     0.0579
Number of clusters (CUSIPNUM) =        111        Root MSE        =     0.1646

                              (Std. Err. adjusted for 111 clusters in CUSIPNUM)
------------------------------------------------------------------------------
             |               Robust
   CASH_ETR1 |      Coef.   Std. Err.      t    P>|t|     [95% Conf. Interval]
-------------+----------------------------------------------------------------
   1.TREATED |  -.0006792   .0239289    -0.03   0.977    -.0481006    .0467423
      1.POST |          0  (omitted)
             |
TREATED#POST |
        1 1  |  -.0587215   .0455061    -1.29   0.200     -.148904     .031461
             |
   ebitda_at |  -.3637687   .1864677    -1.95   0.054    -.7333039    .0057666
      RnDExp |  -.1062945   .2326609    -0.46   0.649    -.5673738    .3547848
       AdExp |   .7186365   .3900482     1.84   0.068    -.0543475     1.49162
         SGA |  -.0539893   .0955656    -0.56   0.573    -.2433779    .1353992
       CapEx |    .245925   .1276429     1.93   0.057    -.0070333    .4988833
  ChangeSale |  -.0162942   .0388226    -0.42   0.676    -.0932315     .060643
    Leverage |  -.0044891   .0987573    -0.05   0.964    -.2002029    .1912247
        Cash |  -.0184461   .0983602    -0.19   0.852    -.2133729    .1764808
       1.MNE |    .022555   .0235748     0.96   0.341    -.0241647    .0692748
       1.NOL |   -.012989   .0270439    -0.48   0.632    -.0665837    .0406057
 Intangibles |   .1550155   .0915312     1.69   0.093    -.0263779    .3364089
         PPE |   .0523543   .0456157     1.15   0.254    -.0380454    .1427539
        size |  -.0071073   .0065139    -1.09   0.278    -.0200162    .0058017
       _cons |   .3383546   .0680943     4.97   0.000     .2034076    .4733016
------------------------------------------------------------------------------

Absorbed degrees of freedom:
-----------------------------------------------------+
 Absorbed FE | Categories  - Redundant  = Num. Coefs |
-------------+---------------------------------------|
         IND |        11           0          11     |
        YEAR |        23           1          22     |
     DIDYEAR |         4           1           3    ?|
-----------------------------------------------------+
? = number of redundant parameters may be higher
note: 1bn.POST is probably collinear with the fixed effects (all partialled-out values are close to zero; tol = 1.0e-09)
(MWFE estimator converged in 8 iterations)
note: 1.POST omitted because of collinearity

HDFE Linear regression                            Number of obs   =        415
Absorbing 3 HDFE groups                           F(  15,    110) =       1.16
Statistics robust to heteroskedasticity           Prob > F        =     0.3155
                                                  R-squared       =     0.1690
                                                  Adj R-squared   =     0.0523
                                                  Within R-sq.    =     0.0602
Number of clusters (CUSIPNUM) =        111        Root MSE        =     0.1661

                              (Std. Err. adjusted for 111 clusters in CUSIPNUM)
------------------------------------------------------------------------------
             |               Robust
   CASH_ETR1 |      Coef.   Std. Err.      t    P>|t|     [95% Conf. Interval]
-------------+----------------------------------------------------------------
   1.TREATED |  -.0012867    .023765    -0.05   0.957    -.0483834      .04581
      1.POST |          0  (omitted)
             |
TREATED#POST |
        1 1  |  -.0872112   .0426009    -2.05   0.043    -.1716361   -.0027862
             |
   ebitda_at |    -.23628   .1819235    -1.30   0.197    -.5968096    .1242497
      RnDExp |   -.118552   .2051529    -0.58   0.565    -.5251168    .2880129
       AdExp |   .6268093   .3852267     1.63   0.107    -.1366196    1.390238
         SGA |  -.1259365   .0973104    -1.29   0.198    -.3187829      .06691
       CapEx |   .1759706   .1466039     1.20   0.233    -.1145639    .4665051
  ChangeSale |  -.0236166   .0401486    -0.59   0.558    -.1031817    .0559486
    Leverage |  -.0256862   .0975202    -0.26   0.793    -.2189484     .167576
        Cash |   .0154889   .0941321     0.16   0.870    -.1710588    .2020367
       1.MNE |   .0137375   .0218499     0.63   0.531    -.0295638    .0570387
       1.NOL |   .0026189   .0261838     0.10   0.921    -.0492714    .0545091
 Intangibles |   .0962533   .0866625     1.11   0.269    -.0754915    .2679981
         PPE |    .007391   .0424909     0.17   0.862    -.0768159    .0915979
        size |  -.0054315    .006033    -0.90   0.370    -.0173875    .0065245
       _cons |   .3715559   .0687302     5.41   0.000     .2353489     .507763
------------------------------------------------------------------------------

Absorbed degrees of freedom:
-----------------------------------------------------+
 Absorbed FE | Categories  - Redundant  = Num. Coefs |
-------------+---------------------------------------|
         IND |        11           0          11     |
        YEAR |        23           1          22     |
     DIDYEAR |         5           1           4    ?|
-----------------------------------------------------+
? = number of redundant parameters may be higher
note: 1bn.POST is probably collinear with the fixed effects (all partialled-out values are close to zero; tol = 1.0e-09)
(MWFE estimator converged in 8 iterations)
note: 1.POST omitted because of collinearity
```

```
HDFE Linear regression                            Number of obs   =        484
Absorbing 3 HDFE groups                           F(  15,    112) =       1.09
Statistics robust to heteroskedasticity           Prob > F        =     0.3764
                                                  R-squared       =     0.1680
                                                  Adj R-squared   =     0.0676
                                                  Within R-sq.    =     0.0471
Number of clusters (CUSIPNUM) =        113        Root MSE        =     0.1664

                              (Std. Err. adjusted for 113 clusters in CUSIPNUM)
```

CASH_ETR1	Coef.	Robust Std. Err.	t	P>|t|	[95% Conf.	Interval]
1.TREATED	.0013985	.0229946	0.06	0.952	-.0441623	.0469593
1.POST	0	(omitted)				
TREATED#POST						
1 1	-.0683952	.0346853	-1.97	0.051	-.1371197	.0003293
ebitda_at	-.1619489	.1686968	-0.96	0.339	-.4962	.1723022
RnDExp	-.1415162	.1723569	-0.82	0.413	-.4830193	.199987
AdExp	.635445	.4235059	1.50	0.136	-.2036776	1.474568
SGA	-.1044358	.0825805	-1.26	0.209	-.2680584	.0591868
CapEx	.1758732	.1455642	1.21	0.230	-.1125435	.46429
ChangeSale	-.0306773	.0406291	-0.76	0.452	-.1111786	.049824
Leverage	-.0254306	.0869285	-0.29	0.770	-.1976682	.1468069
Cash	.0266603	.0810101	0.33	0.743	-.1338508	.1871713
1.MNE	.0076835	.0198709	0.39	0.700	-.031688	.0470551
1.NOL	.0137107	.0235489	0.58	0.562	-.0329484	.0603698
Intangibles	.0907371	.0781144	1.16	0.248	-.0640366	.2455109
PPE	.005203	.0400783	0.13	0.897	-.0742072	.0846131
size	-.0042392	.0055477	-0.76	0.446	-.0152312	.0067529
_cons	.3383387	.0665175	5.09	0.000	.2065428	.4701345

Absorbed degrees of freedom:

Absorbed FE	Categories	- Redundant	= Num. Coefs	
IND	11	0	11	
YEAR	23	1	22	
DIDYEAR	6	1	5	?

? = number of redundant parameters may be higher
note: **1bn.POST** is probably collinear with the fixed effects (all partialled-out values are close to zero; tol = 1.0e-09)
(MWFE estimator converged in 9 iterations)
note: 1.POST omitted because of collinearity

```
HDFE Linear regression                            Number of obs   =        554
Absorbing 3 HDFE groups                           F(  15,    112) =       1.58
Statistics robust to heteroskedasticity           Prob > F        =     0.0915
                                                  R-squared       =     0.1613
                                                  Adj R-squared   =     0.0724
                                                  Within R-sq.    =     0.0623
Number of clusters (CUSIPNUM) =        113        Root MSE        =     0.1723

                              (Std. Err. adjusted for 113 clusters in CUSIPNUM)
```

CASH_ETR1	Coef.	Robust Std. Err.	t	P>|t|	[95% Conf.	Interval]
1.TREATED	-.0057604	.0217977	-0.26	0.792	-.0489498	.0374291
1.POST	0	(omitted)				
TREATED#POST						
1 1	-.0787965	.0322487	-2.44	0.016	-.1426932	-.0148999
ebitda_at	-.2842507	.161921	-1.76	0.082	-.6050764	.036575
RnDExp	-.2526242	.1534992	-1.65	0.103	-.5567632	.0515149
AdExp	.6084484	.3963125	1.54	0.128	-.1767941	1.393691
SGA	-.0865176	.0749337	-1.15	0.251	-.2349891	.0619538
CapEx	.1346767	.1331603	1.01	0.314	-.1291634	.3985168
ChangeSale	-.0295289	.0408703	-0.72	0.471	-.1105081	.0514503
Leverage	-.0138595	.0759586	-0.18	0.856	-.1643618	.1366428
Cash	.0635019	.0817427	0.78	0.439	-.0984608	.2254646
1.MNE	.0125273	.0196467	0.64	0.525	-.0264	.0514547
1.NOL	.0130964	.0202009	0.65	0.518	-.026929	.0531219
Intangibles	.1154974	.0721769	1.60	0.112	-.0275118	.2585067
PPE	.0395796	.0427496	0.93	0.357	-.0451231	.1242824
size	-.0059691	.0056326	-1.06	0.292	-.0171293	.0051912
_cons	.3576427	.0660189	5.42	0.000	.2268348	.4884507

Absorbed degrees of freedom:

Absorbed FE	Categories	- Redundant	= Num. Coefs	
IND	11	0	11	
YEAR	23	1	22	
DIDYEAR	7	1	6	?

? = number of redundant parameters may be higher
note: **1bn.POST** is probably collinear with the fixed effects (all partialled-out values are close to zero; tol = 1.0e-09)
(MWFE estimator converged in 8 iterations)
note: 1.POST omitted because of collinearity

```
HDFE Linear regression                            Number of obs   =        611
Absorbing 3 HDFE groups                           F(  15,    112) =       1.69
Statistics robust to heteroskedasticity           Prob > F        =     0.0633
                                                  R-squared       =     0.1622
                                                  Adj R-squared   =     0.0809
                                                  Within R-sq.    =     0.0634
Number of clusters (CUSIPNUM) =        113        Root MSE        =     0.1708
```

(Std. Err. adjusted for **113** clusters in CUSIPNUM)

CASH_ETR1	Coef.	Robust Std. Err.	t	P>|t|	[95% Conf.	Interval]
1.TREATED	-.0042997	.0217008	-0.20	0.843	-.047297	.0386977
1.POST	0	(omitted)				
TREATED#POST						
1 1	-.0777381	.0316278	-2.46	0.016	-.1404045	-.0150716
ebitda_at	-.2601126	.1582514	-1.64	0.103	-.5736674	.0534422
RnDExp	-.2806213	.1505825	-1.86	0.065	-.5789812	.0177387
AdExp	.350914	.4022711	0.87	0.385	-.4461347	1.147963
SGA	-.075069	.0753328	-1.00	0.321	-.2243314	.0741934
CapEx	.1469001	.1206397	1.22	0.226	-.0921319	.3859322
ChangeSale	-.0311336	.0394738	-0.79	0.432	-.1093459	.0470788
Leverage	-.0112867	.0687385	-0.16	0.870	-.1474833	.1249099
Cash	.0771927	.0772945	1.00	0.320	-.0759564	.2303418
1.MNE	.015373	.0199825	0.77	0.443	-.0242198	.0549657
1.NOL	.0141639	.019292	0.73	0.464	-.0240606	.0523885
Intangibles	.1065579	.0704518	1.51	0.133	-.0330332	.246149
PPE	.0440914	.0422724	1.04	0.299	-.0396659	.1278488
size	-.003739	.0054713	-0.68	0.496	-.0145797	.0071018
_cons	.3285034	.0651961	5.04	0.000	.1993258	.4576811

Absorbed degrees of freedom:

Absorbed FE	Categories	- Redundant	= Num. Coefs	
IND	11	0	**11**	
YEAR	23	1	**22**	
DIDYEAR	8	1	**7**	?

? = number of redundant parameters may be higher

```
54.
55.                 }
56.
57.                 }
58.
59.         {       //Table 4 Additional Analyses
60.
61.                 //Table 4 Panel A
62.                 *PARTSAMEBEAREGION
63.                 *Table 4 Panel A Specification 1
64.                 reghdfe CASH_ETR3 i.hightolow##i.PARTSAMEBEAREGION $NETWORKlist $PARTNERlistBEA $FIRMlist, absorb(IND YEAR) vce(
> cluster CUSIPNUM)
```

(MWFE estimator converged in 6 iterations)

HDFE Linear regression		Number of obs =	**834**
Absorbing 2 HDFE groups		F(**24**, **402**) =	**2.02**
Statistics robust to heteroskedasticity		Prob > F =	**0.0033**
		R-squared =	**0.1797**
		Adj R-squared =	**0.1239**
		Within R-sq. =	**0.1484**
Number of clusters (**CUSIPNUM**) =	**403**	Root MSE =	**0.1775**

(Std. Err. adjusted for **403** clusters in CUSIPNUM)

CASH_ETR3	Coef.	Robust Std. Err.	t	P>|t|	[95% Conf.	Interval]
1.hightolow	-.0400987	.0171949	-2.33	0.020	-.0739018	-.0062956
1.PARTSAMEBEAREGION	-.0367792	.021849	-1.68	0.093	-.0797318	.0061733
hightolow#PARTSAMEBEAREGION						
1 1	.0588874	.0385201	1.53	0.127	-.0168386	.1346133
1.purpose_wholesale	-.0126332	.0265541	-0.48	0.635	-.0648353	.039569
1.purpose_develop	-.012293	.014139	-0.87	0.385	-.0400886	.0155027
1.purpose_license	.0073563	.0171741	0.43	0.669	-.0264061	.0411186
1.purpose_service	-.0181934	.0170692	-1.07	0.287	-.0517494	.0153626
1.purpose_marketing	-.0147972	.0187472	-0.79	0.430	-.0516519	.0220576
1.purpose_supply	-.0297014	.0300549	-0.99	0.324	-.0887859	.029383
1.purpose_manufacture	.012375	.0206119	0.60	0.549	-.0281456	.0528956
1.PARTSAMEAUDITOR	-.0181547	.0146744	-1.24	0.217	-.0470029	.0106934
ebitda_at3	-.5724106	.1871096	-3.06	0.002	-.9402462	-.2045751
RnDExp3	.0664586	.1821275	0.36	0.715	-.2915827	.4244999
AdExp3	.101315	.3077898	0.33	0.742	-.5037637	.7063937
SGA3	-.0463236	.0695784	-0.67	0.506	-.1831067	.0904594
CapEx3	-.0228644	.1583084	-0.14	0.885	-.3340803	.2883514
ChangeSale3	-.3892044	.1254567	-3.10	0.002	-.6358376	-.1425712
Leverage3	-.2422449	.0960775	-2.52	0.012	-.4311219	-.0533678
Cash3	-.0887348	.1153309	-0.77	0.442	-.3154618	.1379923
1.MNE3	.0231554	.0197538	1.17	0.242	-.0156784	.0619891
1.NOL3	.013277	.0224997	0.59	0.555	-.0309549	.0575088
Intangibles3	.1131289	.0659019	1.72	0.087	-.0164265	.2426843
PPE3	.0821164	.0593774	1.38	0.167	-.0346126	.1988455
size3	-.0111133	.0057043	-1.95	0.052	-.0223274	.0001007
_cons	.522082	.077037	6.78	0.000	.3706364	.6735277

Absorbed degrees of freedom:

Absorbed FE	Categories	- Redundant	= Num. Coefs
IND	12	0	**12**
YEAR	19	1	**18**

```
65.                 *Table 4 Panel A Specification 2
66.                 reghdfe DELTA_CASH_ETR3 i.hightolow##i.PARTSAMEBEAREGION $NETWORKlist $PARTNERlistBEA $FIRMlist, absorb(IND YEAR
  > ) vce(cluster CUSIPNUM)
  (MWFE estimator converged in 6 iterations)

  HDFE Linear regression                            Number of obs   =        834
  Absorbing 2 HDFE groups                           F(  24,    402) =       1.45
  Statistics robust to heteroskedasticity           Prob > F        =     0.0814
                                                    R-squared       =     0.1732
                                                    Adj R-squared   =     0.1170
                                                    Within R-sq.    =     0.1395
  Number of clusters (CUSIPNUM) =        403        Root MSE        =     0.6314

                                          (Std. Err. adjusted for 403 clusters in CUSIPNUM)
```

DELTA_CASH_ETR3	Coef.	Robust Std. Err.	t	P>|t|	[95% Conf.	Interval]
1.hightolow	-.1380794	.0548923	-2.52	0.012	-.2459913	-.0301675
1.PARTSAMEBEAREGION	-.1462727	.0769823	-1.90	0.058	-.297611	.0050656
hightolow#PARTSAMEBEAREGION						
1 1	.1338534	.1249308	1.07	0.285	-.1117459	.3794527
1.purpose_wholesale	-.1757558	.0823061	-2.14	0.033	-.33756	-.0139516
1.purpose_develop	-.0542297	.0535509	-1.01	0.312	-.1595045	.0510451
1.purpose_license	.0373993	.0619306	0.60	0.546	-.084349	.1591477
1.purpose_service	-.053048	.0635857	-0.83	0.405	-.1780501	.071954
1.purpose_marketing	-.0941869	.0610146	-1.54	0.123	-.2141346	.0257607
1.purpose_supply	-.058193	.0964903	-0.60	0.547	-.2478816	.1314956
1.purpose_manufacture	.0179037	.0746691	0.24	0.811	-.128887	.1646944
1.PARTSAMEAUDITOR	-.0339205	.0539685	-0.63	0.530	-.1400162	.0721751
ebitda_at3	-1.307898	.5257914	-2.49	0.013	-2.341543	-.2742542
RnDExp3	1.212478	.6069174	2.00	0.046	.0193495	2.405606
AdExp3	-.661247	.9821659	-0.67	0.501	-2.59207	1.269576
SGA3	-.1847422	.2477136	-0.75	0.456	-.6717181	.3022337
CapEx3	.2701326	.5158276	0.52	0.601	-.743924	1.284189
ChangeSale3	-1.709819	.4877388	-3.51	0.001	-2.668656	-.7509815
Leverage3	-.754818	.3069694	-2.46	0.014	-1.358284	-.1513523
Cash3	-.690311	.36573	-1.89	0.060	-1.409293	.0286713
1.MNE3	.0786959	.0674764	1.17	0.244	-.0539547	.2113465
1.NOL3	.0669167	.0728596	0.92	0.359	-.0763168	.2101502
Intangibles3	.1588016	.1809239	0.88	0.381	-.1968735	.5144767
PPE3	.1268942	.1664517	0.76	0.446	-.2003303	.4541188
size3	-.0145603	.0174215	-0.84	0.404	-.0488089	.0196883
_cons	1.597167	.2349421	6.80	0.000	1.135298	2.059036

Absorbed degrees of freedom:

Absorbed FE	Categories	- Redundant	= Num. Coefs
IND	12	0	12
YEAR	19	1	18

```
67.
68.                 //Table 4 Panel B
69.                 *PARTSAMEIND
70.                 *Table 4 Panel B Specification 1
71.                 reghdfe CASH_ETR3 i.hightolow##i.PARTSAMEIND $NETWORKlist $PARTNERlistBEA $FIRMlist, absorb(YEAR) vce(cluster CU
  > SIPNUM)
  (MWFE estimator converged in 1 iterations)

  HDFE Linear regression                            Number of obs   =        834
  Absorbing 1 HDFE group                            F(  25,    402) =       2.41
  Statistics robust to heteroskedasticity           Prob > F        =     0.0002
                                                    R-squared       =     0.1715
                                                    Adj R-squared   =     0.1264
                                                    Within R-sq.    =     0.1518
  Number of clusters (CUSIPNUM) =        403        Root MSE        =     0.1773

                                          (Std. Err. adjusted for 403 clusters in CUSIPNUM)
```

CASH_ETR3	Coef.	Robust Std. Err.	t	P>|t|	[95% Conf.	Interval]
1.hightolow	-.0402599	.0202347	-1.99	0.047	-.0800389	-.0004809
1.PARTSAMEIND	-.0254755	.0165481	-1.54	0.124	-.0580071	.0070562
hightolow#PARTSAMEIND						
1 1	.0300491	.030301	0.99	0.322	-.0295192	.0896174
1.purpose_wholesale	-.0272419	.0270031	-1.01	0.314	-.0803268	.0258429
1.purpose_develop	-.012024	.0144745	-0.83	0.407	-.0404791	.0164312
1.purpose_license	.0033274	.0171631	0.19	0.846	-.0304133	.0370682
1.purpose_service	-.0174865	.0169741	-1.03	0.304	-.0508557	.0158826
1.purpose_marketing	-.0189226	.0190023	-1.00	0.320	-.0562789	.0184337
1.purpose_supply	-.0287057	.0298461	-0.96	0.337	-.0873796	.0299683
1.purpose_manufacture	.0200306	.0203823	0.98	0.326	-.0200386	.0600998
1.PARTSAMEAUDITOR	-.011675	.0143482	-0.81	0.416	-.0398819	.0165319
1.PARTSAMEBEAREGION	-.0192581	.0178846	-1.08	0.282	-.0544171	.015901
ebitda_at3	-.5591309	.1834619	-3.05	0.002	-.9197954	-.1984664
RnDExp3	.0201087	.1731777	0.12	0.908	-.3203382	.3605557
AdExp3	.0185929	.291838	0.06	0.949	-.5551263	.592312
SGA3	-.0266374	.0674569	-0.39	0.693	-.1592497	.1059748
CapEx3	-.0012562	.1513829	-0.01	0.993	-.2988573	.2963449
ChangeSale3	-.3914706	.1247139	-3.14	0.002	-.6366436	-.1462976
Leverage3	-.2594025	.0934323	-2.78	0.006	-.4430793	-.0757256
Cash3	-.0699777	.1087159	-0.64	0.520	-.2837004	.1437451
1.MNE3	.0232414	.0193185	1.20	0.230	-.0147365	.0612192
1.NOL3	.0163525	.022105	0.74	0.460	-.0271032	.0598083
Intangibles3	.1153486	.0574312	2.01	0.045	.0024455	.2282517
PPE3	.0825022	.0427953	1.93	0.055	-.0016284	.1666328
size3	-.0118705	.0051128	-2.32	0.021	-.0219217	-.0018192
_cons	.5290384	.0650306	8.14	0.000	.4011958	.656881

```
Absorbed degrees of freedom:
 -----------------------------------------------------+
 | Absorbed FE | Categories  - Redundant  = Num. Coefs |
 |-------------+---------------------------------------|
 |        YEAR |        19           0          19     |
 -----------------------------------------------------+

72.                 *Table 4 Panel B Specification 2
73.                 reghdfe DELTA_CASH_ETR3 i.hightolow##i.PARTSAMEIND $NETWORKlist $PARTNERlistBEA $FIRMlist, absorb(YEAR) vce(clus
  > ter CUSIPNUM)
(MWFE estimator converged in 1 iterations)

HDFE Linear regression                            Number of obs   =        834
Absorbing 1 HDFE group                            F(  25,    402) =       1.48
Statistics robust to heteroskedasticity           Prob > F        =     0.0670
                                                  R-squared       =     0.1725
                                                  Adj R-squared   =     0.1275
                                                  Within R-sq.    =     0.1435
Number of clusters (CUSIPNUM) =        403        Root MSE        =     0.6276

                                  (Std. Err. adjusted for 403 clusters in CUSIPNUM)
------------------------------------------------------------------------------
             |               Robust
DELTA_CASH_ETR3 |      Coef.   Std. Err.      t    P>|t|     [95% Conf. Interval]
-------------+----------------------------------------------------------------
   1.hightolow |  -.1230987   .0638095    -1.93   0.054    -.2485408    .0023433
  1.PARTSAMEIND |  -.0878526   .0571057    -1.54   0.125    -.2001157    .0244105
             |
hightolow#PARTSAMEIND |
         1 1 |   .0353268   .0942815     0.37   0.708    -.1500196    .2206731
             |
1.purpose_wholesale |  -.2070671   .0850135    -2.44   0.015    -.3741938   -.0399405
1.purpose_develop |  -.0478743   .0531318    -0.90   0.368    -.1523251    .0565765
1.purpose_license |   .0313979   .0615826     0.51   0.610    -.0896662     .152462
1.purpose_service |  -.0530108   .0637883    -0.83   0.406    -.1784111    .0723894
1.purpose_marketing |  -.1005245   .0630402    -1.59   0.112    -.2244542    .0234051
1.purpose_supply |  -.0529424   .0944731    -0.56   0.576    -.2386654    .1327807
1.purpose_manufacture |   .0340179   .0726107     0.47   0.640    -.1087263     .176762
1.PARTSAMEAUDITOR |  -.0227287    .052489    -0.43   0.665     -.125916    .0804585
1.PARTSAMEBEAREGION |  -.1131862   .0611455    -1.85   0.065    -.2333911    .0070186
   ebitda_at3 |  -1.301711   .5106788    -2.55   0.011    -2.305646   -.2977767
      RnDExp3 |   1.241729   .5844532     2.12   0.034      .092763    2.390696
      AdExp3 |  -.8197033   .9440771    -0.87   0.386    -2.675648    1.036241
         SGA3 |   -.094031   .2343798    -0.40   0.688    -.5547943    .3667323
      CapEx3 |   .2759845   .4957697     0.56   0.578    -.6986405     1.25061
   ChangeSale3 |  -1.700223    .472061    -3.60   0.000     -2.62824   -.7722068
     Leverage3 |  -.7332727   .2917591    -2.51   0.012    -1.306837   -.1597085
       Cash3 |  -.6377916   .3422393    -1.86   0.063    -1.310594    .0350106
      1.MNE3 |   .0936964   .0624678     1.50   0.134     -.029108    .2165008
      1.NOL3 |   .0691191   .0706754     0.98   0.329    -.0698204    .2080585
 Intangibles3 |   .1618978   .1562932     1.04   0.301    -.1453563    .4691518
       PPE3 |   .1403096    .114761     1.22   0.222    -.0852971    .3659163
      size3 |  -.0132991    .016043    -0.83   0.408    -.0448376    .0182395
      _cons |   1.558008   .2102556     7.41   0.000      1.14467    1.971346
------------------------------------------------------------------------------

Absorbed degrees of freedom:
 -----------------------------------------------------+
 | Absorbed FE | Categories  - Redundant  = Num. Coefs |
 |-------------+---------------------------------------|
 |        YEAR |        19           0          19     |
 -----------------------------------------------------+

74.
75.                 //Table 4 Panel C
76.                 *PARTSAMEAUDITOR
77.                 *Table 4 Panel C Specification 1
78.                 reghdfe CASH_ETR3 i.hightolow##i.PARTSAMEAUDITOR $NETWORKlist $PARTNERlistBEA $FIRMlist, absorb(IND YEAR) vce(cl
  > uster CUSIPNUM)
(MWFE estimator converged in 6 iterations)

HDFE Linear regression                            Number of obs   =        834
Absorbing 2 HDFE groups                           F(  24,    402) =       1.93
Statistics robust to heteroskedasticity           Prob > F        =     0.0057
                                                  R-squared       =     0.1769
                                                  Adj R-squared   =     0.1210
                                                  Within R-sq.    =     0.1456
Number of clusters (CUSIPNUM) =        403        Root MSE        =     0.1778

                                  (Std. Err. adjusted for 403 clusters in CUSIPNUM)
------------------------------------------------------------------------------
             |               Robust
CASH_ETR3 |      Coef.   Std. Err.      t    P>|t|     [95% Conf. Interval]
-------------+----------------------------------------------------------------
   1.hightolow |  -.0240913   .0172344    -1.40   0.163     -.057972    .0097895
  1.PARTSAMEAUDITOR |  -.0127242   .0180335    -0.71   0.481    -.0481761    .0227276
             |
hightolow#PARTSAMEAUDITOR |
         1 1 |  -.0130575   .0296536    -0.44   0.660     -.071353     .045238
             |
1.purpose_wholesale |  -.0142785    .026615    -0.54   0.592    -.0666004    .0380435
1.purpose_develop |  -.0118573   .0141723    -0.84   0.403    -.0397183    .0160038
1.purpose_license |   .0056581   .0171835     0.33   0.742    -.0281227    .0394389
1.purpose_service |  -.0167979   .0171649    -0.98   0.328     -.050542    .0169462
1.purpose_marketing |  -.0143494   .0187635    -0.76   0.445    -.0512362    .0225373
1.purpose_supply |  -.0273213   .0301439    -0.91   0.365    -.0865807     .031938
1.purpose_manufacture |   .0161757   .0206315     0.78   0.433    -.0243833    .0567347
1.PARTSAMEBEAREGION |  -.0200986   .0182088    -1.10   0.270     -.055895    .0156978
   ebitda_at3 |  -.5688265   .1876732    -3.03   0.003      -.93777   -.1998829
      RnDExp3 |   .0687162   .1829273     0.38   0.707    -.2908974    .4283298
      AdExp3 |   .0943946   .3098877     0.30   0.761    -.5148082    .7035974
         SGA3 |  -.0406116   .0694492    -0.58   0.559    -.1771406    .0959174
      CapEx3 |  -.0241059   .1591871    -0.15   0.880     -.337049    .2888371
   ChangeSale3 |  -.3904589   .1255933    -3.11   0.002    -.6373607   -.1435571
     Leverage3 |  -.2434854   .0971849    -2.51   0.013    -.4345395   -.0524314
       Cash3 |  -.0785006   .1134649    -0.69   0.489    -.3015593    .1445581
      1.MNE3 |   .0244152   .0198865     1.23   0.220    -.0146793    .0635096
      1.NOL3 |   .0137664   .0226798     0.61   0.544    -.0308194    .0583523
 Intangibles3 |   .1206926   .0640783     1.88   0.060    -.0052779    .2466631
       PPE3 |    .084507   .0589275     1.43   0.152    -.0313376    .2003515
```

size3	-.0109839	.0057433	-1.91	0.057	-.0222745	.0003068
_cons	.5088973	.07606	6.69	0.000	.3593724	.6584222

Absorbed degrees of freedom:

Absorbed FE	Categories	- Redundant	= Num. Coefs
IND	12	0	**12**
YEAR	19	1	**18**

```
79.                 *Table 4 Panel C Specification 2
80.                 reghdfe DELTA_CASH_ETR3 i.hightolow##i.PARTSAMEAUDITOR $NETWORKlist $PARTNERlistBEA $FIRMlist, absorb(IND YEAR)
  > vce(cluster CUSIPNUM)
  (MWFE estimator converged in 6 iterations)

  HDFE Linear regression                            Number of obs   =        834
  Absorbing 2 HDFE groups                           F(  24,    402) =       1.49
  Statistics robust to heteroskedasticity           Prob > F        =     0.0668
                                                    R-squared       =     0.1726
                                                    Adj R-squared   =     0.1163
                                                    Within R-sq.    =     0.1389
  Number of clusters (CUSIPNUM) =        403        Root MSE        =     0.6316

                                        (Std. Err. adjusted for 403 clusters in CUSIPNUM)
```

DELTA_CASH_ETR3	Coef.	Robust Std. Err.	t	P>|t|	[95% Conf.	Interval]
1.hightolow	-.1276519	.055351	-2.31	0.022	-.2364654	-.0188384
1.PARTSAMEAUDITOR	-.0551867	.0665883	-0.83	0.408	-.1860914	.075718
hightolow#PARTSAMEAUDITOR						
1 1	.0941589	.1123591	0.84	0.403	-.1267258	.3150437
1.purpose_wholesale	-.1859468	.0817615	-2.27	0.023	-.3466804	-.0252133
1.purpose_develop	-.0522433	.0535162	-0.98	0.330	-.1574499	.0529634
1.purpose_license	.0301352	.0618152	0.49	0.626	-.0913864	.1516567
1.purpose_service	-.053537	.0632923	-0.85	0.398	-.1779623	.0708883
1.purpose_marketing	-.096422	.060408	-1.60	0.111	-.215177	.0223331
1.purpose_supply	-.0526709	.097032	-0.54	0.588	-.2434244	.1380826
1.purpose_manufacture	.0305553	.0755078	0.40	0.686	-.1178841	.1789946
1.PARTSAMEBEAREGION	-.1126504	.0618441	-1.82	0.069	-.2342285	.0089278
ebitda_at3	-1.28849	.5296662	-2.43	0.015	-2.329751	-.247228
RnDExp3	1.219176	.6048884	2.02	0.045	.0300361	2.408315
AdExp3	-.6533659	.9837192	-0.66	0.507	-2.587242	1.280511
SGA3	-.1782435	.2472144	-0.72	0.471	-.6642381	.307751
CapEx3	.2622934	.5193829	0.51	0.614	-.7587525	1.283339
ChangeSale3	-1.716064	.4885134	-3.51	0.000	-2.676423	-.7557036
Leverage3	-.7565291	.3093255	-2.45	0.015	-1.364627	-.1484315
Cash3	-.6752751	.3621506	-1.86	0.063	-1.387221	.0366705
1.MNE3	.076272	.0679085	1.12	0.262	-.0572282	.2097721
1.NOL3	.0696019	.0734818	0.95	0.344	-.0748547	.2140586
Intangibles3	.1635375	.1782337	0.92	0.359	-.186849	.513924
PPE3	.1283624	.1665986	0.77	0.441	-.199151	.4558758
size3	-.0147576	.0174281	-0.85	0.398	-.0490192	.019504
_cons	1.589838	.2334833	6.81	0.000	1.130838	2.048839

Absorbed degrees of freedom:

Absorbed FE	Categories	- Redundant	= Num. Coefs
IND	12	0	**12**
YEAR	19	1	**18**

```
81.         }
82.
83.         {       //Table 5 Robustness Checks: Alternative Explanations
84.
85.                 //Table 5 Panel A
86.                 *Exclude Non-Survivors (network falls within last 2 years of firms in sample)
87.                 gen vhelp = LAST
  >                         // LAST = MAX(FYEAR) - CURRENT(FYEAR)
88.                 replace vhelp = . if missing(COOPFIRMYEAR)
  (6,234 real changes made, 6,234 to missing)
89.                 replace vhelp =  . if YEAR == 2014 | YEAR == 2015 | YEAR == 2016                        //Non-Survivors are not
  > determined by end of panel
  (27 real changes made, 27 to missing)
90.                 reghdfe DELTA_CASH_ETR3 i.hightolow $NETWORKlist $PARTNERlist $FIRMlist if vhelp > 2, absorb(IND YEAR) vce(clust
  > er CUSIPNUM)
  (MWFE estimator converged in 6 iterations)

  HDFE Linear regression                            Number of obs   =        733
  Absorbing 2 HDFE groups                           F(  23,    342) =       1.10
  Statistics robust to heteroskedasticity           Prob > F        =     0.3447
                                                    R-squared       =     0.1851
                                                    Adj R-squared   =     0.1228
                                                    Within R-sq.    =     0.1334
  Number of clusters (CUSIPNUM) =        343        Root MSE        =     0.5792

                                        (Std. Err. adjusted for 343 clusters in CUSIPNUM)
```

DELTA_CASH_ETR3	Coef.	Robust Std. Err.	t	P>|t|	[95% Conf.	Interval]
1.hightolow	-.1170455	.0518229	-2.26	0.025	-.2189772	-.0151137
1.purpose_wholesale	-.2077436	.0841637	-2.47	0.014	-.3732873	-.0421999
1.purpose_develop	-.0506432	.0521937	-0.97	0.333	-.1533042	.0520179
1.purpose_license	.026539	.0595152	0.45	0.656	-.090523	.1436009
1.purpose_service	-.051975	.0659126	-0.79	0.431	-.18162	.0776701
1.purpose_marketing	-.0568868	.0597303	-0.95	0.342	-.1743718	.0605983
1.purpose_supply	.0314428	.0990436	0.32	0.751	-.1633686	.2262542
1.purpose_manufacture	-.0101833	.0602634	-0.17	0.866	-.1287169	.1083503
1.PARTSAMEAUDITOR	-.0116407	.0559044	-0.21	0.835	-.1216004	.0983191
PROXIMITY	-.1682332	.1898952	-0.89	0.376	-.5417427	.2052763
ebitda_at3	-.7586479	.5124843	-1.48	0.140	-1.766666	.2493701
RnDExp3	1.194452	.7150368	1.67	0.096	-.2119719	2.600875

AdExp3	-1.27939	.9656305	-1.32	0.186	-3.178713	.6199325
SGA3	-.082535	.2565369	-0.32	0.748	-.5871237	.4220538
CapEx3	.394202	.5699853	0.69	0.490	-.7269161	1.51532
ChangeSale3	-1.759528	.5383335	-3.27	0.001	-2.818389	-.7006663
Leverage3	-.5678528	.3077885	-1.84	0.066	-1.17325	.037544
Cash3	-.692508	.4284399	-1.62	0.107	-1.535217	.150201
1.MNE3	.0159657	.072207	0.22	0.825	-.1260599	.1579914
1.NOL3	.0312063	.0785143	0.40	0.691	-.1232255	.185638
Intangibles3	.1755644	.1926781	0.91	0.363	-.2034189	.5545477
PPE3	-.0531544	.1415405	-0.38	0.707	-.3315539	.2252451
size3	-.017669	.0188486	-0.94	0.349	-.0547428	.0194048
_cons	1.55616	.2555859	6.09	0.000	1.053442	2.058878

Absorbed degrees of freedom:

Absorbed FE	Categories	- Redundant	= Num. Coefs
IND	12	0	**12**
YEAR	19	1	**18**

```
91.                 drop vhelp
92.
93.                 //Table 5 Panel B
94.                 reghdfe DELTA_CASH_ETR3 i.hightolow $NETWORKlist $PARTNERlist $FIRMlist if DELTA_CASH_ETR3 < 1, absorb(IND YEAR)
  >  vce(cluster CUSIPNUM)
  (dropped 1 singleton observations)
  (MWFE estimator converged in 7 iterations)

  HDFE Linear regression                            Number of obs   =        506
  Absorbing 2 HDFE groups                           F(  23,    268) =       6.24
  Statistics robust to heteroskedasticity           Prob > F        =     0.0000
                                                    R-squared       =     0.3692
                                                    Adj R-squared   =     0.2983
                                                    Within R-sq.    =     0.2994
  Number of clusters (CUSIPNUM) =        269        Root MSE        =     0.2317

                                     (Std. Err. adjusted for 269 clusters in CUSIPNUM)
```

DELTA_CASH_ETR3	Coef.	Robust Std. Err.	t	P>|t|	[95% Conf.	Interval]
1.hightolow	-.0525205	.0302416	-1.74	0.084	-.1120618	.0070208
1.purpose_wholesale	-.105484	.0535742	-1.97	0.050	-.2109639	-4.06e-06
1.purpose_develop	-.023883	.0241958	-0.99	0.324	-.071521	.023755
1.purpose_license	-.0174026	.0268102	-0.65	0.517	-.070188	.0353827
1.purpose_service	-.0811788	.0272521	-2.98	0.003	-.1348342	-.0275234
1.purpose_marketing	.0231609	.0371789	0.62	0.534	-.050039	.0963609
1.purpose_supply	-.0656014	.0464413	-1.41	0.159	-.1570376	.0258348
1.purpose_manufacture	.0161551	.0433962	0.37	0.710	-.0692858	.1015959
1.PARTSAMEAUDITOR	-.0082646	.0298346	-0.28	0.782	-.0670047	.0504754
PROXIMITY	-.1519714	.1066503	-1.42	0.155	-.3619504	.0580076
ebitda_at3	.7392465	.2271099	3.26	0.001	.2921	1.186393
RnDExp3	-.9641591	.3198832	-3.01	0.003	-1.593963	-.3343556
AdExp3	.195183	.5175036	0.38	0.706	-.8237067	1.214073
SGA3	.1056905	.1142605	0.92	0.356	-.1192719	.3306528
CapEx3	-.2804199	.2060579	-1.36	0.175	-.686118	.1252782
ChangeSale3	-.0604468	.1470842	-0.41	0.681	-.3500344	.2291407
Leverage3	-.2395328	.1321372	-1.81	0.071	-.4996918	.0206262
Cash3	-.3550854	.205042	-1.73	0.084	-.7587834	.0486127
1.MNE3	.1214409	.0336922	3.60	0.000	.0551058	.1877759
1.NOL3	-.0544162	.0363918	-1.50	0.136	-.1260663	.017234
Intangibles3	.255611	.1137679	2.25	0.025	.0316185	.4796035
PPE3	-.0074933	.088211	-0.08	0.932	-.1811679	.1661814
size3	.0245891	.0100284	2.45	0.015	.0048446	.0443335
_cons	.4452537	.1285766	3.46	0.001	.1921051	.6984023

Absorbed degrees of freedom:

Absorbed FE	Categories	- Redundant	= Num. Coefs
IND	11	0	**11**
YEAR	19	1	**18**

```
95.
96.                 //Table 5 Panel C
97.                 reghdfe CASH_ETR3 i.lowtohigh $NETWORKlist $PARTNERlistBEA $FIRMlist, absorb(IND YEAR) vce(cluster CUSIPNUM)
  (dropped 2 singleton observations)
  (MWFE estimator converged in 7 iterations)

  HDFE Linear regression                            Number of obs   =        277
  Absorbing 2 HDFE groups                           F(  23,    158) =       0.76
  Statistics robust to heteroskedasticity           Prob > F        =     0.7756
                                                    R-squared       =     0.2614
                                                    Adj R-squared   =     0.1060
                                                    Within R-sq.    =     0.1464
  Number of clusters (CUSIPNUM) =        159        Root MSE        =     0.1499

                                     (Std. Err. adjusted for 159 clusters in CUSIPNUM)
```

CASH_ETR3	Coef.	Robust Std. Err.	t	P>|t|	[95% Conf.	Interval]
1.lowtohigh	-.0074283	.0288727	-0.26	0.797	-.0644545	.0495979
1.purpose_wholesale	.0261427	.0374012	0.70	0.486	-.0477281	.1000135
1.purpose_develop	-.0180031	.0221123	-0.81	0.417	-.0616769	.0256707
1.purpose_license	.0164379	.0438255	0.38	0.708	-.0701214	.1029972
1.purpose_service	-.0081284	.0218106	-0.37	0.710	-.0512063	.0349495
1.purpose_marketing	.0364263	.0366579	0.99	0.322	-.0359764	.108829
1.purpose_supply	-.0582899	.0432137	-1.35	0.179	-.1436409	.0270611
1.purpose_manufacture	-.0394132	.0259227	-1.52	0.130	-.0906129	.0117865
1.PARTSAMEAUDITOR	.000159	.0251767	0.01	0.995	-.0495674	.0498854
1.PARTSAMEBEAREGION	.0060332	.024788	0.24	0.808	-.0429255	.0549918
ebitda_at3	-.337865	.2519515	-1.34	0.182	-.8354925	.1597625
RnDExp3	.0971759	.267279	0.36	0.717	-.4307248	.6250766
AdExp3	-.4248296	.5145354	-0.83	0.410	-1.441084	.5914252
SGA3	-.101967	.1318811	-0.77	0.441	-.3624442	.1585103

CapEx3	-.0690835	.1118899	-0.62	0.538	-.2900763	.1519093
ChangeSale3	-.1099243	.1237854	-0.89	0.376	-.3544118	.1345632
Leverage3	.0726076	.0951187	0.76	0.446	-.1152606	.2604759
Cash3	-.1752292	.1085001	-1.62	0.108	-.3895269	.0390685
1.MNE3	.0817938	.0390772	2.09	0.038	.0046128	.1589748
1.NOL3	-.004238	.0249641	-0.17	0.865	-.0535444	.0450684
Intangibles3	.0115594	.0926468	0.12	0.901	-.1714266	.1945455
PPE3	-.0393395	.0456048	-0.86	0.390	-.1294132	.0507342
size3	-.0182217	.0092078	-1.98	0.050	-.036408	-.0000355
_cons	.4228221	.1484643	2.85	0.005	.1295915	.7160527

Absorbed degrees of freedom:

Absorbed FE	Categories	- Redundant	= Num. Coefs
IND	9	0	**9**
YEAR	18	1	**17**

```
98.
99.                 //Table 5 Panel D
100                 reghdfe PROFITABILITY3 i.hightolow $NETWORKlist $PARTNERlist $FIRMlistnoebitda, absorb(IND YEAR) vce(cluster CUS
  > IPNUM)
  (MWFE estimator converged in 6 iterations)

  HDFE Linear regression                            Number of obs   =        834
  Absorbing 2 HDFE groups                           F(  22,    402) =      14.01
  Statistics robust to heteroskedasticity           Prob > F        =     0.0000
                                                    R-squared       =     0.4879
                                                    Adj R-squared   =     0.4545
                                                    Within R-sq.    =     0.4038
  Number of clusters (CUSIPNUM) =        403        Root MSE        =     1.6658

                                    (Std. Err. adjusted for 403 clusters in CUSIPNUM)
```

PROFITABILITY3	Coef.	Robust Std. Err.	t	P>|t|	[95% Conf.	Interval]
1.hightolow	-.0384505	.1623995	-0.24	0.813	-.3577089	.2808079
1.purpose_wholesale	-.2196002	.2876529	-0.76	0.446	-.7850921	.3458917
1.purpose_develop	.2226598	.1507486	1.48	0.140	-.0736943	.5190138
1.purpose_license	-.2737472	.1962279	-1.40	0.164	-.6595082	.1120137
1.purpose_service	-.0888123	.1393541	-0.64	0.524	-.3627662	.1851416
1.purpose_marketing	.1715143	.1827824	0.94	0.349	-.1878144	.530843
1.purpose_supply	-.1707437	.2932299	-0.58	0.561	-.7471993	.4057119
1.purpose_manufacture	-.0062557	.2512385	-0.02	0.980	-.5001611	.4876496
1.PARTSAMEAUDITOR	.1196104	.1450518	0.82	0.410	-.1655444	.4047652
PROXIMITY	-.7650038	.5350972	-1.43	0.154	-1.816942	.2869345
RnDExp3	-.7797179	1.975092	-0.39	0.693	-4.662517	3.103081
AdExp3	3.442152	2.544976	1.35	0.177	-1.560973	8.445276
SGA3	1.578018	.7663683	2.06	0.040	.0714276	3.084608
CapEx3	.8287108	1.21208	0.68	0.495	-1.554096	3.211517
ChangeSale3	-1.43046	.7765221	-1.84	0.066	-2.957011	.0960917
Leverage3	-.2345023	.7130174	-0.33	0.742	-1.636211	1.167206
Cash3	.1745068	.8783177	0.20	0.843	-1.552163	1.901176
1.MNE3	-.6945792	.2105414	-3.30	0.001	-1.108479	-.2806795
1.NOL3	-.4165171	.1794419	-2.32	0.021	-.7692788	-.0637554
Intangibles3	-.1823937	.5871784	-0.31	0.756	-1.336717	.9719301
PPE3	.2375695	.3705688	0.64	0.522	-.4909252	.9660642
size3	.7263331	.0532407	13.64	0.000	.6216682	.830998
_cons	.8046595	.6757725	1.19	0.234	-.52383	2.133149

Absorbed degrees of freedom:

Absorbed FE	Categories	- Redundant	= Num. Coefs
IND	12	0	**12**
YEAR	19	1	**18**

```
101
102         }
103
104         {       //Table 6 Robustness Checks: Alternative Tax Knowledge Measrues
105
106                 //Table 6 Specification 1 (CTD)
107                 reghdfe CTD1 TREATED##POST $FIRMlistannual if !missing(CASH_ETR1), absorb(IND) vce(cluster CUSIPNUM)
  (MWFE estimator converged in 1 iterations)

  HDFE Linear regression                            Number of obs   =        611
  Absorbing 1 HDFE group                            F(  16,    112) =       4.27
  Statistics robust to heteroskedasticity           Prob > F        =     0.0000
                                                    R-squared       =     0.2023
                                                    Adj R-squared   =     0.1668
                                                    Within R-sq.    =     0.1669
  Number of clusters (CUSIPNUM) =        113        Root MSE        =     0.0160

                                    (Std. Err. adjusted for 113 clusters in CUSIPNUM)
```

CTD1	Coef.	Robust Std. Err.	t	P>|t|	[95% Conf.	Interval]
1.TREATED	-.0011619	.0021078	-0.55	0.583	-.0053383	.0030145
1.POST	.0032288	.0026898	1.20	0.233	-.0021007	.0085584
TREATED#POST						
1 1	-.007427	.0030427	-2.44	0.016	-.0134556	-.0013984
ebitda_at	-.0590898	.0155732	-3.79	0.000	-.0899461	-.0282336
RnDExp	-.0321392	.0151095	-2.13	0.036	-.0620767	-.0022017
AdExp	-.0011327	.0344959	-0.03	0.974	-.069482	.0672166
SGA	-.0041542	.0078081	-0.53	0.596	-.0196249	.0113166
CapEx	.0300332	.0126508	2.37	0.019	.0049673	.0550992
ChangeSale	-.0008475	.0026615	-0.32	0.751	-.006121	.004426
Leverage	-.0008483	.0060742	-0.14	0.889	-.0128835	.0111869
Cash	-.0113421	.0084976	-1.33	0.185	-.0281791	.0054949
1.MNE	-.0012019	.001844	-0.65	0.516	-.0048555	.0024517
1.NOL	.0002936	.0019018	0.15	0.878	-.0034745	.0040618

Intangibles	.0076491	.0072807	1.05	0.296	-.0067767	.0220748
PPE	.0031228	.0044941	0.69	0.489	-.0057816	.0120272
size	.0000534	.0005304	0.10	0.920	-.0009976	.0011043
_cons	.0007737	.0067649	0.11	0.909	-.0126301	.0141775

Absorbed degrees of freedom:

Absorbed FE	Categories	- Redundant	= Num. Coefs
IND	11	0	**11**

```
108
109                 //Table 6 Specification 1 (GAAP ETR)
110                 reghdfe GAAP_ETR1 TREATED##POST $FIRMlistannual if !missing(CASH_ETR1), absorb(IND) vce(cluster CUSIPNUM)
```

(MWFE estimator converged in 1 iterations)

```
HDFE Linear regression                            Number of obs   =        611
Absorbing 1 HDFE group                            F(  16,    112) =       3.64
Statistics robust to heteroskedasticity           Prob > F        =     0.0000
                                                  R-squared       =     0.1371
                                                  Adj R-squared   =     0.0987
                                                  Within R-sq.    =     0.0950
Number of clusters (CUSIPNUM) =        113        Root MSE        =     0.1376
```

(Std. Err. adjusted for **113** clusters in CUSIPNUM)

GAAP_ETR1	Coef.	Robust Std. Err.	t	P>|t|	[95% Conf.	Interval]
1.TREATED	.0241693	.016711	1.45	0.151	-.0089415	.0572801
1.POST	.0229384	.0147489	1.56	0.123	-.0062846	.0521613
TREATED#POST						
1 1	-.0412249	.0201733	-2.04	0.043	-.0811957	-.0012541
ebitda_at	.3389354	.0852517	3.98	0.000	.1700201	.5078506
RnDExp	-.1872226	.1408822	-1.33	0.187	-.4663627	.0919174
AdExp	.1627168	.3940538	0.41	0.680	-.6180503	.9434839
SGA	-.1818499	.0532408	-3.42	0.001	-.2873397	-.07636
CapEx	.039859	.0722057	0.55	0.582	-.1032074	.1829254
ChangeSale	.0214607	.0135728	1.58	0.117	-.0054319	.0483534
Leverage	.0173964	.0575566	0.30	0.763	-.0966446	.1314374
Cash	.0005561	.0597441	0.01	0.993	-.1178191	.1189313
1.MNE	-.0059523	.0171883	-0.35	0.730	-.0400088	.0281042
1.NOL	.0034343	.0154924	0.22	0.825	-.0272619	.0341306
Intangibles	-.1005994	.0590091	-1.70	0.091	-.2175184	.0163195
PPE	-.0667315	.0283833	-2.35	0.020	-.1229693	-.0104936
size	.0022479	.0038296	0.59	0.558	-.00534	.0098357
_cons	.3042819	.0456164	6.67	0.000	.2138988	.3946651

Absorbed degrees of freedom:

Absorbed FE	Categories	- Redundant	= Num. Coefs
IND	11	0	**11**

```
111
112         }
113
114         {       //Table 7 Robustness Checks: Alternative Identification Strategy
115                 reg CASH_ETR3 i.HIGHTAXFIRM##c.PARTPRECETR3 $PARTNERlistBEA $NETWORKlist $FIRMlist i.IND, vce(robust)
```

```
Linear regression                               Number of obs     =      1,113
                                                F(36, 1076)       =       6.30
                                                Prob > F          =     0.0000
                                                R-squared         =     0.1656
                                                Root MSE          =     .17421
```

CASH_ETR3	Coef.	Robust Std. Err.	t	P>|t|	[95% Conf.	Interval]
1.HIGHTAXFIRM	.0806052	.0206722	3.90	0.000	.0400428	.1211675
PARTPRECETR3	-.0284884	.0434785	-0.66	0.512	-.1138006	.0568239
HIGHTAXFIRM#c.PARTPRECETR3						
1	.1064588	.0631747	1.69	0.092	-.0175008	.2304184
1.PARTSAMEAUDITOR	-.0108066	.0133975	-0.81	0.420	-.0370949	.0154817
1.PARTSAMEBEAREGION	-.011369	.0121567	-0.94	0.350	-.0352226	.0124846
1.purpose_wholesale	-.0045591	.0215485	-0.21	0.832	-.0468409	.0377227
1.purpose_develop	-.01861	.0110626	-1.68	0.093	-.0403168	.0030968
1.purpose_license	.0066422	.0154844	0.43	0.668	-.0237409	.0370253
1.purpose_service	-.013301	.0118422	-1.12	0.262	-.0365374	.0099354
1.purpose_marketing	.0029966	.0168466	0.18	0.859	-.0300592	.0360525
1.purpose_supply	-.0336713	.0243491	-1.38	0.167	-.0814484	.0141059
1.purpose_manufacture	-.0014366	.0166282	-0.09	0.931	-.0340638	.0311907
ebitda_at3	-.4294071	.1066304	-4.03	0.000	-.6386343	-.22018
RnDExp3	.1315955	.123845	1.06	0.288	-.1114095	.3746006
AdExp3	.0350497	.1818324	0.19	0.847	-.3217366	.391836
SGA3	-.0376028	.0494965	-0.76	0.448	-.1347234	.0595177
CapEx3	-.0101379	.0948367	-0.11	0.915	-.1962237	.1759478
ChangeSale3	-.2976841	.0626529	-4.75	0.000	-.4206199	-.1747483
Leverage3	-.0931896	.0602537	-1.55	0.122	-.2114177	.0250386
Cash3	-.1321078	.0604357	-2.19	0.029	-.2506929	-.0135227
1.MNE3	.0303371	.0133871	2.27	0.024	.0040693	.0566048
1.NOL3	.0045187	.0126722	0.36	0.721	-.0203464	.0293838
Intangibles3	.0200231	.0370348	0.54	0.589	-.0526455	.0926917
PPE3	.0249899	.0348641	0.72	0.474	-.0434195	.0933993
size3	-.0151858	.0036275	-4.19	0.000	-.0223035	-.008068
IND						
2	.0799401	.0935884	0.85	0.393	-.1036964	.2635766
3	.071751	.0934886	0.77	0.443	-.1116896	.2551916
4	.0664044	.0780726	0.85	0.395	-.0867873	.2195961
5	.1039706	.0775845	1.34	0.180	-.0482635	.2562046

6	.0934616	.0815891	1.15	0.252	-.0666302	.2535534
7	.0395129	.0806051	0.49	0.624	-.1186482	.197674
8	.1339594	.0836946	1.60	0.110	-.0302638	.2981826
9	.0873425	.0820057	1.07	0.287	-.0735666	.2482516
10	.1008297	.0780663	1.29	0.197	-.0523498	.2540092
11	.0829965	.0852178	0.97	0.330	-.0842154	.2502085
12	.0429398	.0821283	0.52	0.601	-.11821	.2040897
_cons	.3345276	.0932178	3.59	0.000	.1516183	.517437

```
116                 vif                                 //makes hightolow indication trustworthy since it produces lower VIFs
```

Variable	VIF	1/VIF
1.HIGHTAXF~M	3.39	0.294728
PARTPRECETR3	3.02	0.331017
HIGHTAXFIRM#		
c.		
PARTPRECETR3		
1	5.16	0.193696
1.PARTSAME~R	1.03	0.967000
1.PARTSAME~N	1.13	0.888600
1.purpose~le	1.24	0.806855
1.purpose_~p	1.14	0.874655
1.purpose~se	1.17	0.858308
1.purpose~ce	1.31	0.766250
1.purpose_~g	1.10	0.912488
1.purpose_~y	1.09	0.918195
1.purpose~re	1.12	0.892446
ebitda_at3	1.45	0.691225
RnDExp3	3.06	0.327234
AdExp3	1.33	0.753858
SGA3	3.14	0.318376
CapEx3	1.50	0.666684
ChangeSale3	1.32	0.759154
Leverage3	1.87	0.534771
Cash3	2.97	0.337162
1.MNE3	1.66	0.600943
1.NOL3	1.18	0.845852
Intangibles3	1.59	0.627314
PPE3	2.61	0.383491
size3	1.71	0.584646
IND		
2	5.12	0.195173
3	2.75	0.363615
4	33.74	0.029639
5	86.28	0.011590
6	25.20	0.039686
7	12.82	0.078009
8	12.82	0.077973
9	17.50	0.057130
10	80.85	0.012369
11	10.87	0.092000
12	14.06	0.071120
Mean VIF	9.70	

```
117         }
118
119 log close
```